

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

CHINA UNITED LINES, LTD., *Complainant*

v.

AMAZON.COM SERVICES LLC; AMAZON LOGISTICS INC.;
AND BEIJING CENTURY JOYO COURIER SERVICE CO., LTD.,
Respondents.

DOCKET NO. 25-04

Served: September 30, 2026

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

INITIAL DECISION GRANTING SUMMARY DECISION¹

I. SUMMARY AND BACKGROUND

A. Introduction

This proceeding was filed by Complainant China United Lines, Ltd. (“China United” or “CUL”), an ocean common carrier that provided containership transportation. China United alleges violations of the Shipping Act of 1984 (“Shipping Act”) by Respondents Amazon.com Services LLC (“Amazon”), a shipper, and two non-vessel operating common carriers (“NVOCCs”): Amazon Logistics, Inc. and Beijing Century Joyo Courier Service Co., Ltd. Respondents filed a motion to dismiss which was denied as to Count I and granted as to Counts II, III, IV, and V. Order Partially Granting Motion to Dismiss (ALJ June 6, 2025).

The remaining claim alleges a violation of section 41102(a), which states that a “person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 U.S.C. § 41102(a).

Initially, China United asserted that Amazon entered into the shipping contract with the intent of not complying with it. On those grounds, the case was allowed to proceed. However, China United has abandoned that theory. Rather, the dispute now is over whether Amazon violated the Shipping Act when it terminated the service contract for cause based on China United’s use of Amazon’s name in alleged violation of the party’s non-disclosure agreement, thus eliminating Amazon’s obligation to pay liquidated damages for early termination.

¹ This initial decision granting summary decision will become the decision of the Commission in the absence of review by the Commission. 46 C.F.R. § 502.227(c). An appeal of *this* decision must be filed with the Commission’s Office of the Secretary within twenty-two days from the date of service of the decision. 46 C.F.R. § 502.227(b)(1).

Amazon filed a motion (“Motion”) seeking summary decision in its favor and dismissal of the remaining Count I claim with prejudice. Amazon summarizes its argument:

Summary disposition is warranted on two independent grounds. First, China United has neither alleged nor produced evidence of the type of fraud or concealment in connection with the carriage or release of cargo required to establish a Section 41102(a) violation. Second, China United has no legally cognizable theory of reparations. It identifies no actual injury, as required by 46 U.S.C. § 41305, and relies exclusively on a tariff rerating theory under 46 C.F.R. § 530.10 that the Presiding Officer has already held inapplicable and that China United’s own expert conceded does not fit the facts of this case. Amazon is entitled to summary disposition as a matter of law.

Motion at 2.

China United filed its opposition (“Opposition”) to the motion, asserting that Amazon engaged in fraud and that “Amazon’s actions were used to secure an unlawful commercial advantage over its fellow shipper competitors by obtaining transportation on terms more favorable than those to which it had agreed, satisfying the requisite fraud element necessary to prove a violation of Section 41102(a).” Opposition at 1. China United contends that summary disposition presents a high bar and is disfavored; Amazon misstates the legal standard under section 41102(a); Amazon utilized unjust and unfair devices; material issues of fact remain to be resolved; China United pled its entitlement to rerating under its sole remaining claim and the law; China United has pled and presented into evidence, in the alternative, damages stemming from its actual injury supporting China United’s requested remedy; and tender shortfall damages are freight related charges. Opposition at 10-29.

Amazon filed a reply (“Reply”), arguing that China United misstates the summary disposition standard; China United cannot establish a violation of section 41102(a); and China United identifies no cognizable Shipping Act injury or remedy. Reply at 2-14.

Amazon filed a motion to defer the oral hearing until resolution of this motion, which China United opposed. China United filed a motion seeking a prehearing conference, which Amazon argues is premature and unnecessary. Given the disposition of this motion, the motions related to the oral hearing are dismissed as moot.

The dismissal of Counts II-V is currently on appeal to the Commission. And, the “same nucleus of facts” is also the subject of litigation in the Southern District of New York brought by China United in November 2023. Opposition at n.2. A trial was held in that proceeding in June 2026 and the parties are awaiting a decision in that case. Motion at 5; March 16, 2026, Joint Status Report and Proposed Briefing Schedule.

For the reasons discussed below, Amazon’s motion for summary decision is **GRANTED** and Count I is dismissed with prejudice.

B. Procedural History

This proceeding began with a complaint filed on January 9, 2025. On January 28, 2025, China United filed a motion to amend the complaint which was granted on February 5, 2025. On March 26, 2025, Respondents filed a motion to dismiss the amended complaint which was granted in part on June 6, 2026. On June 23, 2025, Respondents filed an answer to the amended complaint.

On July 10, 2025, an order denying China United's motion to stay was granted and a scheduling order was issued. The parties engaged in discovery and requested revisions to the scheduling order. China United filed five discovery motions which were addressed in an Order on Pending Motions, issued June 12, 2026. The Order on Pending Motions ordered China United to supplement its interrogatory response and provide the material or principal facts and documents supporting the contention that Amazon engaged in any act of fraud or concealment with respect to it, but otherwise denied the pending motions.

On August 7, 2026, Amazon filed the motion seeking summary decision, a statement of material facts to which there is no genuine dispute ("SMF"), and an appendix. On August 28, 2026, China United filed its opposition and response to the statement of undisputed material facts ("Opposition SMF"). On September 9, 2026, Amazon filed its reply, a reply statement of material facts to which there is no genuine dispute ("Reply SMF"), and a supplementary appendix.

On September 18, 2026, Amazon filed a motion to defer hearing dates until resolution of the motion for summary disposition and China United filed a motion for prehearing conference. On September 25, 2026, China United filed an opposition to Amazon's motion to defer hearing dates and Amazon filed its response to China United's motion for a prehearing conference.

II. RELEVANT LAW

A. Motion for Summary Decision Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions for summary decision, Commission Rule 12 states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. "The Commission applies the federal summary judgment standard (Fed. R. Civ. P. 56) in deciding parties' motions for summary decision." *Intermodal Motor Carriers Conference v. OCEMA*, Docket No. 20-14, 2024 WL 641501, at *9 (FMC February 13, 2024).

Pursuant to Federal Rule 56, a party is entitled to the entry of summary judgment if "there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law." Fed. R. Civ. P. 56(a). A material fact is one that is capable of affecting the outcome of litigation. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). However, "[t]o defeat a motion for summary judgment, the non-moving party must offer more than mere unsupported allegations or denials." *Dormu v. District of Columbia*, 795 F. Supp. 2d 7, 17 (D.D.C. 2011) (citing *Celotex Corp. v. Catrett*, 477 U.S. 317, 324 (1986)). If the non-movant's

evidence is “merely colorable” or “not significantly probative,” summary judgment may be granted. *Tucker v. Johnson*, 211 F. Supp. 3d 95, 99 (D.D.C. 2016) (quoting *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 249-50 (1986)).

The mere existence of a factual dispute will not in and of itself defeat an otherwise properly supported motion for summary judgment. *Anderson*, 477 U.S. at 247-48. Further, “[w]here the record taken as a whole could not lead a rational trier of fact to find for the non-moving party, there is no ‘genuine issue for trial.’” *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (citation omitted). However, the inferences to be drawn from the underlying facts must be viewed in the light most favorable to the non-moving party. *Matsushita*, 475 U.S. at 587.

The Commission has emphasized that:

At the summary judgment stage, the role of the judge “. . . is not himself to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial.” The party seeking summary judgment . . . has the burden of demonstrating that there is no genuine issue of material fact.

EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc., Docket No. 06-06, 31 S.R.R. 540, 545, 2008 WL 7149852 (FMC Dec. 18, 2008) (citations omitted).

Even if summary judgment is technically proper, sound judicial policy and the proper exercise of judicial discretion permit denial of such a motion for the case to be developed fully at trial. *Roberts v. Browning*, 610 F.2d 528, 536 (8th Cir. 1979); *In re Korean Air Lines Disaster*, 597 F. Supp. 613, 618 (D.D.C. 1984); *see also* Fed. R. Civ. P. 56 advisory committee notes on 2007 amendments (“although there is no discretion to enter summary judgment when there is a genuine issue as to any material fact, there is discretion to deny summary judgment when it appears that there is no genuine issue as to any material fact”).

B. Section 41102(a)

Section 41102(a) of the Shipping Act states that a “person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 U.S.C. § 41102(a).

Proving a section 41102(a) claim requires three elements: (1) knowing and willful conduct; (2) through which, either “directly or indirectly,” by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;” (3) respondent obtained or attempted to obtain ocean transportation at lesser rates. *Muhammad Rana v. Michelle Franklin D.B.A. “The Right Move,” Inc.*, Docket No. 19-03, 5 F.M.C.2d 7, 2022 WL 1744905, at *7 (FMC May 25, 2022); *see also OC Int’l Freight, Inc.*, FMC Docket. No. 12-01, 2014 WL 5316336, at *4 (FMC July 31, 2014).

As explained by the Eleventh Circuit:

It is undisputed that fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means. *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979). It is such fraud or concealment that in fact makes the practice unjust or unfair. Whether an act constitutes an unfair or unjust device under § 16 depends on its similarity to false billing, false classification or the other prohibited conduct. *Hohenberg Brothers Co. v. Federal Maritime Commission*, 316 F.2d 381 (D.C. Cir.1963).

U.S. v. Open Bulk Carriers, 727 F.2d 1061, 1064 (11th Cir. 1984). The Commission has also recognized that section 41102(a) violations have “all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo,” concluding that such “fact-based deception is the hallmark of potential section 41102(a) violations.” *Samsung Electronics America, Inc. v. Orient Overseas Container Line Ltd.*, Dkt. No. 24-17, 2025 WL 2207363, at *10 (FMC July 30, 2025).

III. DISCUSSION

The discussion addresses arguments regarding the requirements for a section 41102(a) claim before discussing the reparations claim.

A. Section 41102(a)

This section discusses the party’s arguments, material facts, and fraud or concealment.

1. Party’s Arguments

Amazon asserts that a section 41102(a) claim requires an allegation of fraud or concealment with respect to the carriage or release of cargo as a matter of law; and China United does not allege conduct that violates section 41102(a), much less have any evidence that raises a genuine issue of material fact as to whether such a violation occurred because (1) the Commission lacks jurisdiction over pure contract claims; (2) China United’s specific allegations do not approach fraud or concealment; and (3) China United does not allege fraud or concealment connected to any shipment or release of cargo. Motion at 9-14.

China United contends that summary disposition presents a high bar and is disfavored; Amazon misstates the legal standard under section 41102(a); Amazon utilized unjust and unfair devices; and material issues of fact remain to be resolved. Opposition at 10-21.

In reply, Amazon contends that China United misstates the summary disposition standard; China United has not stated a claim for violation of section 41102(a) because China United misstates the legal standard; China United has no evidence that Amazon obtained transportation through fraud at below-applicable rates; and China United’s purported factual disputes are not material because they do not cure its failure of proof on an essential element of its section 41102(a) claim.

2. Material Facts

The factual allegations have not changed significantly throughout this proceeding. Indeed, at this point, the parties have completed discovery in two proceedings and held a trial in the Southern District of New York litigation. The undersigned is not making factual findings at this stage of the proceeding, but rather reviewing the facts alleged by China United to determine whether, if those facts were established, they could support a violation of section 41102(a) as a matter of law. So, for example, this decision does not decide whether the NDA was violated or whether termination of the contract for cause was justified. The parties vigorously contest the legal conclusions to be drawn from the facts and whether the facts presented constitute a Shipping Act claim.

For purposes of this motion, inferences to be drawn from the underlying facts must be viewed in the light most favorable to the non-moving party. *Matsushita*, 475 U.S. at 587. China United identifies many facts that are contested. Opposition at 19-21; Complainant's Response to Respondents' Statement of Undisputed Material Facts. Amazon asserts that the factual disputes are not material and even if China United's evidence of fraud, concealments, or deceit were accepted as true, that none would establish a violation of section 41102(a). Reply at 9. A summary of the relevant facts alleged by China United in its Opposition is below, with citations to evidence omitted.

China United asserts that in July 2021, it launched a transpacific service from China to the West Coast of the United States. Opposition at 4. In March 2022, China United signed Amazon's Non-Disclosure Document ("NDA") prohibiting China United from disclosing its relationship with Amazon, if that relationship is confidential. *Id.*

On April 7, 2022, China United signed a Master Transportation Agreement ("MTA") with Amazon. *Id.* Under the MTA, as modified by a Work Order, Amazon may terminate the parties' relationship for convenience at any time, but must pay tender shortfall liquidated damages for doing so. *Id.* The MTA also provides that Amazon may, under limited circumstances, terminate the parties' relationship "for cause" and avoid its obligation to pay liquidated damages. *Id.* at 4-5.

On April 29, 2022, China United and Amazon entered into a Work Order for a two-year period, beginning May 1, 2022, and ending April 30, 2024. The minimum quantity commitment made by Amazon was for carriage on China United vessels of "at least" 31,200 FEUs during each contract year. *Id.* at 5. Amazon agreed to pay liquidated damages for tender shortfalls or early termination for convenience. *Id.*

On three occasions in 2022, Amazon used its social media account to advertise and publicize its service from China United or to identify it as a vendor. *Id.* In August 2022, China United reposted Amazon's comments about it on China United's WeChat account, LinkedIn, and website. *Id.* at 6; *see also* Opposition SMF ¶ 11 (China United merely "reposted, summarized, or recast information that Amazon had already placed into the public domain"). On October 24, 2022, China United hosted Amazon representatives and hung a gigantic banner on the side of its vessels stating: "CULINES and TRAPAC PROUDLY WELCOME AMAZON TEAM ABOARD." *Id.*

On March 30, 2023, Amazon called China United to let them know that Amazon would be terminating for convenience with a 90-day ramp down period. *Id.* at 7. After the formal notice of termination for convenience, the parties met to discuss the \$31.56 million liquidated damages from early termination and, on multiple occasions, Amazon requested a reduction. *Id.*

To China United's surprise, Amazon sent it a notice of termination for cause on June 7, 2023, claiming that China United violated both the NDA and the MTA. *Id.* at 9. This was the first time that China United had heard this allegation. *Id.* Amazon had previously internally commented that they needed "to consider whether we are going to lean in to the disclosure point to create leverage." *Id.* Amazon never sent a cease-and-desist letter to China United, or asked it to work to claw back the public mentions of its name. *Id.* at 9-10. Multiple Amazon witnesses testified that if China United had lowered its rates, Amazon would have continued using it and that Amazon was satisfied with the service. *Id.* at 10. After the notice of termination for convenience was sent, Amazon looked for an opportunity to terminate for cause to avoid paying the liquidated damages. *Id.*

China United contends that the "record presents multiple factual disputes that go to the heart of CUL's Section 41102(a) claim, including, but not limited to Amazon's knowledge, concealment, intent, and selective invocation of name-use, and CUL's reliance." Opposition at 19. Specifically, China United contends that disputed material facts include:

- "when Amazon learned of CUL's use of the Amazon name;"
- "whether Amazon concealed its concerns over CUL's use of the Amazon name;"
- "whether Amazon used CUL's name-use as leverage to pressure CUL into reducing the Early Termination Freight Payments;"
- "whether CUL relied on Amazon's representations that it would terminate for convenience and make the Early Termination Freight Payments;" and
- evidence that "Amazon invokes the name-use issue only when it deems carriers' rates unfavorable."

Opposition at 19-21. The materiality of these facts is dependent upon the question of what section 41102(a) requires, which is addressed next.

3. Fraud or Concealment

Amazon alleges that section 41102(a) "is not an omnibus statute that allows a complainant to challenge any conduct that it disagrees with and seeks to characterize as improper; rather, the Commission has held it has a 'restrictive meaning' derived from the specific acts prohibited such as false billing, false classification, and false weighing." Motion at 11 (citing *Pacific Far East Lines*, 10 S.R.R. at 6). Amazon further alleges that China United's claims "concern contract administration and alleged waiver of contractual protections" which "do not involve false billing, false classification, false weighing, false measurement, or any comparable cargo-related deception." *Id.* at 11.

China United contends that Amazon ignores Congress's prohibition on using "any other unjust or unfair device or means;" rather, "Congress's inclusion of the catchall phrase 'any other unjust device or means' reflected a concern that deceitful and dishonest shippers (like Amazon)

would employ dishonest schemes beyond those identified in the statute to obtain transportation at less than tariff rates.” Opposition at 11-12.

These arguments were addressed in the June 12, 2026, order, which stated:

It is not clear how Amazon’s marketing and confidentiality restrictions relate to the remaining violation. They differ significantly from the listed concerns of false billing, false classification, false weighing, false report of weight, and false measurement, which all relate to information provided about the cargo tendered. Similarly, it is not clear how the facts sought relate to an unjust or unfair device or means. Additionally, the facts requested by the motion to compel do not involve transportation factors, rather, they relate to marketing and confidentiality restrictions in the service contract. Whether the confidentiality provisions of the service contract were violated and whether or not the service contract was terminated for cause may be more appropriately resolved by the related federal proceeding as it is not clear they involve elements peculiar to the Shipping Act.

Order on Pending Motions at 6-7 (citing *Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 2000 WL 1648961, at *14 (FMC Oct. 31, 2000); *see also* 46 U.S.C. § 40502(f)).

China United states that “the governing standard here” is that “some element of falsification, deception, fraud, or concealment must exist.” Opposition at 14. Indeed, even the cases relied upon by China United confirm that some level of fraud or deception is required:

- “In *Capitol Transportation*, the First Circuit upheld the Commission’s finding of a violation where the respondent refused to pay demurrage, advanced claims it knew or should have known were false, dishonored the results of its own audit, failed to pay even undisputed amounts, and raised ‘ever-changing contentions’ after the fact.” Opposition at 12 (citing *Capitol Transp., Inc. v. United States*, 612 F.2d 1312, 1323-24 (1st Cir. 1979)).
- “Likewise, in *Unpaid Freight Charges*, interpreting former Section 16, the Commission explained that Section 16 was ‘aimed at protecting competing shippers and carriers from shippers who attempt to obtain (or succeed in obtaining) transportation at reduced rates through devices or representations involving fraud, falsehood, or concealment.’” Opposition at 12-13 (citing *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993) (quoting *Pacific Far East Lines-Alleged Rebates*, 11 F.M.C. 357, 362 (1968), *aff’d*, 410 F.2d 257 (D.C. Cir. 1969))).
- “Likewise, in *Refrigerated Container Carriers Pty. Limited, Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, interpreting another predecessor provision from which current Section 41102(a) derives, the presiding officer explained that Section 10(a)(1), like its predecessor, ‘is designed to protect honest shippers and carriers from dishonest, unscrupulous shippers who employ devices to give the shippers advantages over their honest shipper-competitors.’” Opposition at 13 (citing FMC Dkt. No. 98-20, Initial Decision at 15).

The question at this point in the proceeding is whether, accepting the facts asserted by China United as true, those facts would meet the legal requirement of “some element of falsification, deception, fraud, or concealment.” Opposition at 14.

China United contends that the following facts demonstrate that Amazon utilized unjust and unfair devices:

1. Amazon complimented China United’s banner with the Amazon name in October 2022, but later claimed the same conduct justified termination for cause;
2. Amazon concealed its concerns about China United’s usage of the Amazon name, and turned a blind eye;
3. for Amazon, China United’s name usage provided Amazon with “leverage” and Amazon worked to induce China United to materially breach.

Opposition at 15-18.

Amazon responds, stating:

China United admits that its claim is not based on any alleged misrepresentation regarding any particular shipment or cargo (Response to Fact No. 28) and that Amazon paid the freight due and owing for all the cargo carried under the contract. (Response to Fact No. 16). China United does not contend that Amazon avoided rates or charges applicable to cargo. It contends that Amazon improperly terminated the contract for cause and therefore owes liquidated damages. This argument does not state a claim under section 41102(a).

Reply at 7.

Here, assuming the facts as alleged by China United, Amazon utilized a provision in the parties’ NDA to terminate the shipping contract with cause as opposed to without cause. China United contends that the disclosure was justified because Amazon executives responded positively to the October 24, 2022, usage of the Amazon name. China United argues that “it was dishonest and fraudulent” for Amazon to point to China United’s use of its name to terminate the shipping contract for cause, asserting that the “Shipping Act does not allow a shipper to lie to a carrier, lull that carrier into reliance, continue to benefit from the commercial agreement, and then invoke the carrier’s conduct as a device to avoid applicable freight charges.” Opposition at 15-16. Similarly, China United further argues that Amazon concealed its concerns about the use of its name and turned a blind eye. Opposition at 16-17.

China United does not point to any requirement in the parties’ agreements, the Shipping Act, or caselaw that Amazon had a duty to warn China United if it is in breach or that the breach be addressed within a certain timeframe. Indeed, the parties could have modified the NDA at any point and Amazon could have waived the NDA requirements. Amazon’s awareness of the use of its name does not equate to authorization. There is no allegation that China United was granted official authorization or approval to use Amazon’s name. And there would be no basis to find

that Amazon's disclosure of the party's relationship nullified the NDA, waived its requirements, or served as authorization for China United to use Amazon's name.

The NDA was agreed to by both parties and they both had access to the explicit terms of the agreements they signed – there was no concealment of the terms of the NDA and no evidence of any false statements about the NDA requirements or approvals. A polite comment after the disclosure and not pointing out a breach after the breach are not the type of concealment or fraud addressed by this section. And, it was not Amazon's responsibility to advise China United of China United's obligations under the NDA. Although the Shipping Act prohibits unjust or unfair device or means, enforcement of explicit terms of the parties' NDA does not meet that standard without more.

A prior order in this proceeding stated:

It is not clear how a provision in the service contract could be considered so obscure that it equates to fraud or concealment or otherwise is relevant to the prohibitions in Section 41102(a). As stated previously in this proceeding, "The parties had access to the terms of their agreements and knew what was in them."

Order on Pending Motions at 7 (citing Order Partially Granting Motion to Dismiss at 11). China United's opposition does not directly address this concern.

China United also objects to Amazon using the NDA as leverage, pointing out that Amazon looked for ways to avoid paying liquidated damages for early termination of a shipping contract that was no longer cost effective for it. But simply looking for a reason to terminate a contract, even if that reason was not the main driver of the desire to exit the contract, on its own does not show bad faith and is not an unjust or unfair device or means. Utilizing terms agreed to by the parties to terminate a contract does not meet the Commission's requirement of fact-based deception necessary for a section 41102(a) claim.

China United contends that section 41102(a) is, in part, designed to protect honest shippers and carriers from dishonest, unscrupulous shippers. Opposition at 13. Given that most cargo ships under confidential service contracts, competing shippers usually do not have access to competitor's agreements. Additionally, China United does not show how other shippers are unreasonably disadvantaged by Amazon enforcing its NDA or utilizing the for cause termination provision agreed to by the parties. Again, there is no factual deception or fraud that would make this an unlawful commercial advantage.

China United asserts that its "reliance is a key element of the fraud that occurred here." Opposition at 20-21. No cases are provided which explain how reliance is related to fraud and it is not clear from the discussion. It appears that China United continued to provide reliable service during the ramp-down period and that China United was relying on income from the shipping contract or liquidated damages. However, none of those arguments demonstrate fraud or an unjust or unfair device or means.

Amazon argues that China United fails "to tie its allegations to lower rates for any transportation of cargo" and that the grievance is "Amazon's refusal to pay liquidated damages." Reply at 8; Motion at 14. Indeed, whether the NDA was violated and whether the contract

termination should have been with or without cause are not related to transportation factors or elements peculiar to the Shipping Act. Any deception or misrepresentation here was not related to the cargo or even the rates applicable to that cargo. Rather, the issue centers on an NDA and contractual termination/liquidation provisions. These issues are not related to the required element of “obtain[ing] or attempt[ing] to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 U.S.C. § 41102(a).

China United does not seem to argue that NDAs or termination agreements are inherently unreasonable; rather, it argues that how Amazon handled this particular situation was unreasonable. From a policy perspective, if the Commission found it unreasonable for parties to enforce explicit terms of their agreements, without some other factor such as fraud making those agreements unreasonable, that could negatively impact the stability of the shipping industry. As for the questions regarding whether the NDA was violated and whether the contract should have been terminated for cause, those issues are more appropriately addressed by the federal court.

These facts do not show “some element of falsification, deception, fraud, or concealment.” The evidence may show that Amazon looked for a way to terminate the contract without paying liquidated damages, that it did not alert or warn China United that it could be considered in breach of the NDA, and that it did not raise the NDA issue until it wanted to terminate the contract which was no longer financially viable for Amazon. This does not equate to “by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means,” as required by the Shipping Act.

Returning to the factual disputes between the parties, China United has not shown that the disputed facts are material. For example, the analysis would not change based on the timing of when Amazon learned of China United’s use of Amazon’s name; when Amazon shared its concerns about China United’s use of Amazon’s name; whether Amazon used the name-use as leverage or only invokes the clause when it deems rates unfavorable; or whether China United relied on Amazon’s notice of termination for convenience.

Even assuming the facts are as alleged by China United, those facts would not support a violation of section 41102(a) as a matter of law. Therefore, the motion is granted and Count I is dismissed. As the other allegations in the amended complaint were previously dismissed, there are no remaining claims to adjudicate.

B. Reparations

Given the findings above, the issues of reparations would not be reached. For completeness, however, the issues will be briefly addressed.

Amazon asserts that China United has not alleged or provided evidence of an actual injury as required for a reparations claim; China United’s rerating theory is foreclosed by the Presiding Officer’s prior determination that 46 C.F.R. § 530.10 is inapplicable; and even if a rerating remedy were appropriate, China United’s claimed damages are unsupported and legally deficient. Motion at 15-19.

China United contends that it pled its entitlement to rerating under its sole remaining claim and the law; it has pled and presented into evidence, in the alternative, damages stemming

from its actual injury supporting its requested remedy; and tender shortfall damages are freight related charges. Opposition at 21-29.

Amazon responds that China United has no viable theory of actual injury or reparations because China United's damages theory confirms this is a contract case; China United's rerating theory fails as a matter of law; and even if there were a proper legal basis for a rerating remedy, it would yield no reparations. Reply at 10-14.

The Commission regulation at issue states:

§ 530.10 Amendment, correction, cancellation, and electronic transmission errors.

(a) *Terms.* When used in this section, the following terms will have these meanings:

(1) *Amendment* means any change to a service contract which has prospective effect and which is mutually agreed upon by the service contract parties.

(2) *Correction* means any change to a service contract which has retroactive effect.

(3) *Cancellation* means an event which is unanticipated by the service contract, in liquidated damages or otherwise, and is due to the failure of the shipper party to tender minimum cargo as set forth in the contract, unless such tender was made impossible by an action of the carrier party.

(b) *Amendment.* Service contracts may be amended by mutual agreement of the parties to the contract. Amendments shall be filed electronically with the Commission in the manner set forth in § 530.8 and appendix A to this part.

(1) Where feasible, service contracts should be amended by amending only the affected specific term(s) or subterms.

(2) Each time any part of a service contract is amended, the filer shall assign a consecutive amendment number (up to three digits), beginning with the number "1."

(3) Each time any part of the service contract is amended, the "Filing Date" will be the date of filing of the amendment. . . .

(e) *Cancellation.*

(1) An account may be adjusted for events and damages covered by the service contract. This shall include adjustment necessitated by either liability for liquidated damages appearing in the service contract as filed with the Commission under § 530.8(b)(7), or the occurrence of an event described below in paragraph (d)(2) of this section.

(2) In the event of cancellation as defined in § 530.10(a)(3):

(i) Further or continued implementation of the service contract is prohibited; and (ii) The cargo previously carried under the contract shall be re-rated according to the otherwise applicable tariff provisions.

46 C.F.R. § 530.10. The parties have not identified any cases applying this provision to reparations calculations.

The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). Complainants bear the burden of proving that they are entitled to reparations. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). “As the Commission has explained: ‘(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.’” *Id.* (citations omitted).

The reparations claim is complicated because “market rates declined substantially during the Parties’ relationship,” although it is not clear why the parties would not just rely on the contract rates. Opposition SMF, ¶ 16. China United seeks to rerate the cargo that was shipped under the service contract, pursuant to Commission Rule 530.10. This would be a novel method of determining actual injury. Moreover, a prior order in this case dismissed Count V, alleging a violation of this Commission Rule, finding that “section 530.10(e)(2), does not apply to these facts.” The order explained:

Accepting the factual allegations in the complaint as true, the parties’ agreements specifically addressed termination of the service contract and the parties negotiated the terms of such termination, including its impact on minimum quantity commitments and liquidated damages. Because contract termination was addressed in the agreement, such termination was not “unanticipated by the service contract.” 46 C.F.R. § 530.10(e). Complainant does not point to any cases supporting their allegation that the specific facts would need to be anticipated.

Order Partially Granting Motion to Dismiss at 22. Consistent with this prior order, rerating would not be available to establish reparations and actual injury for Count I either, under these facts.

IV. ORDER

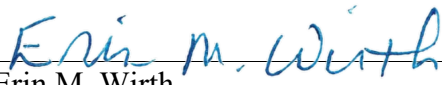
Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Amazon’s motion for summary determination be **GRANTED** and Count I be **DISMISSED**. It is

FURTHER ORDERED that Amazon’s motion to defer the oral hearing be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that China United's motion seeking a prehearing conference be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**.


Erin M. Wirth
Chief Administrative Law Judge